

All About 1031 Tax-Deferred Exchanges

Under section 1031 of the Internal Revenue Code, the owner of real property can sell that property and then reinvest the proceeds in a "like-kind" property to defer paying capital gains taxes. To qualify as "like-kind," the exchange must be done according to the tax-code rules; it does not mean you have to replace an apartment building with an apartment building, etc.

Investors can reap significant tax benefits by taking advantage of the 1031 exchange, and in some areas, it's considered one of the best-kept secrets in the Internal Revenue Code. A properly structured exchange can provide investors with the opportunity to defer all of their capital gains taxes. This results in an essentially interest-free, no-term loan from the government. Instead of paying the taxes now, the investor can put those dollars to work on other investment properties.

To qualify:

- The property must be held for investment or business purposes.
- Sale proceeds must be passed through the hands of a qualified intermediary and must not be received directly by the investor, or they will become taxable.
- All proceeds must be reinvested; any cash proceeds retained will be taxable.
- The replacement property must involve an equal or greater level of debt than the relinquished property (if not, the investor will have to either pay taxes on the difference or put in additional cash funds to offset the lower level of debt in the replacement property).
- All timelines must be met (property identification within 45 days; closing within 180 days from the closing date on the relinquished property).

Foreign investors may also participate in the 1031 tax exchange and are subject to the same rules of qualification.

An investor can't defer capital gains taxes on a warehouse by purchasing a family home in which the investor intends to live. Nor does most personal property qualify for the 1031 exchange, even if it's used for business purposes.

Investors can exchange property that's residential, commercial, industrial, or even leased (if the lease is for 30 years or more and includes ownership interest). Investors can exchange into vacant land, hotels, motels, etc., provided the exchange meets certain IRS rules.

Parsing the IRS Rules

First, there's the like-kind rule, which we've already discussed. Second, the basis of the original property carries over to the new property. It doesn't change. So if your investor has a property worth \$500,000 with a basis of \$100,000, and then exchanges it for a property also worth \$500,000, the basis in the new property is \$100,000 plus any new debt taken on and any cash paid out.

Rule Number Three

Rule number three is that the new property has to come with the same or greater debt load for the investor. If it doesn't, the investor will be liable for gains on the difference. The IRS doesn't want the investor pocketing any change on gains realized-this is simply a way to defer gains from one property by investing those gains in another. To be clear: Any cash your investor receives from the proceeds of the sale is taxable. It's called **boot**. It doesn't mean there can't be a tax-deferred exchange, but the taxes on the boot are due and payable.

Rule Number Four

Rule number four is that the investor has to use a **qualified intermediary** to conduct the exchange. What makes an intermediary qualified, according to the IRS? Simple: He or she is not unqualified. In case that's clear as mud, your clients can't do the exchange for themselves. And if they've worked with the investor in the past two years, neither can the investor's attorney, CPA, or you-the real estate broker. You're not qualified. Joe Blow, unlicensed and uncredentialed, who doesn't know your client from Miley Cyrus, is qualified. So Joe Blow, whoever he is, is called a QI, or qualified intermediary.

The QI will coordinate the exchange between the parties and their attorneys or agents, coordinate documents and money transfer through escrow, and submit a 1099 to the taxpayer and the IRS for proceeds paid.

Rule Number Five

Rule number five-and it's a biggie-is that the investor has only 45 days from the day of closing on one property to identify and commit in writing to the next property. The investor has 180 days from the date of sale of Property #1 to close on Property #2. These are firm dates, and there is only one way to extend those dates: The president of the United States has to declare a natural disaster area that affects the properties or parties involved. No foolin'

This time frame can get hairy if you're in the middle of negotiations and the clock is ticking-your investor client has a lot more to lose than the seller of Property #2 at this point, so keep these deadlines in mind and identify early, negotiate expediently, and sew up the deal before you run into trouble.

Rule Number Six

Disclosure of the exchange is rule number six. The 1031 must be disclosed to the buyer. At the time of the sale and at the time of the purchase, you have to tell the parties to the transactions that you're doing a like-kind exchange.

If your client changes her mind about the property in the middle of the exchange, her tax deferral may be in jeopardy due to the deadlines involved. If the change of heart occurs during the 45-day identification period-and by the way, the 45 days includes Saturdays, Sundays, and your birthday, so don't even think about any grace period until the next business day-it's 45 calendar days, period. If it happens during these 45 days, and your client hasn't yet closed on the sale of the property being sold, ask for an extension from the other party.

Hopefully, though, you've identified a back-up property, just in case. If so, extricate yourself from the first transaction and quickly get the other in writing within that 45-day window. This formal identification has to be made with the QI through fax, mail, or courier. The investor must do this in writing during that 45-calendar-day identification period. Once the 45 days is up, that's it. Revoking and submitting a new property for exchange will not reset the deadline. So unless you think you can get the POTUS to write you a note for the teacher, fuhgettaboutit. And if you get a slippery QI who suggests changing or back-dating the paperwork, fire him on the spot. This is called criminal income tax fraud, and even the president can't write you a note for that.

Let's say you fail to identify a property in 45 days, or the deal falls apart and you can't cobble another one together within that 45 days. What happens? It's not the end of the world, but it is the end of your investor's chance to do a 1031 for that deal. Game over, pay your capital gains tax.

The 180 days is also firm unless the deadline becomes shorter. The rule is that you have to complete the 1031 exchange by the earlier of either midnight of the 180th calendar day following the close of Property #1 or the due date of your client's federal income tax return for the tax year in which the relinquished property was sold, including any extensions. This only becomes a problem if Property #1 is sold between October 17 and December 31 of any given tax year, because that would mean that the 180th calendar day would fall after April 15, tax day.

Additional IRS Rules

Just in case you think you were done with the rules, remember: we're talking about the IRS. There are three more rules you should be aware of related to the identification of the replacement property:

- **200% rule:** Multiple properties are okay, but may not exceed 200% of value of the relinquished property.
- **95% rule:** Multiple properties are okay, as long as they total at least 95% of the value of the relinquished property.
- **Three-property rule:** Up to three properties are okay with no fair market value restrictions.

First, let's talk about the 200% rule. Your client could decide to exchange into more than one property. That's perfectly permissible. Remember that the debt load has to be equal or more than the current debt load. There's also a cap. While your client can identify multiple properties to exchange into, the combined fair market value of the properties can't be more than 200% of the value of the relinquished property. So if your client has a property worth \$100,000 and can find 18 properties to exchange into, that's fine, as long as those properties' total value isn't more than \$200,000.

Then there's the 95% rule, which says that your clients can identify a bunch of properties with no regard to their value if the exchange they're moving into has a total value of at least 95% of the value of the property they're selling. So if your client has a property worth \$1 million and identifies six properties with a total value of \$950,000 or more, you're good to go.

Because both of these rules can be a bit confusing, most people go by the three-property rule. That's the last of the property identification rules from our friends at the IRS. The three-property rule says that your investors can identify up to three replacement properties and, in this situation, fair market value doesn't matter, provided they meet the debt load requirement we've already discussed.

For simplicity's sake, you can think of these as just two rules. As long as you meet the debt requirement, you can exchange up to three properties at any value. If you exchange more than three, they have to have a value of 95% to 200% of the relinquished property.

If your client finds and closes on an investment property and then decides to sell another property or before selling the original property, he can do a tax deferral "backward." This is called a **reverse exchange**. You're still strapped to the 45- and 180-day deadlines, though, and it can get hairy.